

Improved outcome: Calculate the present discounted value of lifetime earnings to be saved. Determine the characteristics of lifetime income in terms of whether it is more bond-like or stock-like. Consider this as an asset in your portfolio and then figure out the asset allocation for the financial portfolio in order to obtain the final overall desired asset allocation for wealth.

3. Tax Efficiency through Asset Location and Withdrawal Sequencing

The issue: Maximizing tax efficiency by locating assets in the most tax-efficient places and withdrawing assets in a more tax-efficient manner.

Naïve investor: Ignores these issues by keeping the same asset allocation for both tax-deferred and taxable accounts, and then withdraws proportionately from each account in retirement.

Improved outcome: Use efficient asset location by filling tax-deferred accounts with bonds, while stocks would be used in taxable accounts as much as possible. Couple that with efficient withdrawal sequencing, which first spends down taxable accounts, and then move on to tax-deferred accounts.

4. Liability Relative Optimization

The issue: The true risk for a retirement portfolio is not the annual volatility of the asset portfolio, nor is it the performance of the asset portfolio relative to a benchmark. Rather, it is the risk that you won't be able to meet your spending goals.

Naïve investor: Makes asset allocation decisions with no regard for spending goals, focusing instead solely on single-period modern portfolio theory concepts.

Improved outcome: Make investment decisions specifically with spending liabilities in mind. This could result in a portfolio with a lower expected return or higher volatility than a more traditional one, but it might do a better job meeting lifetime spending needs. Adding a liability creates a different efficient frontier with portfolios that would have previously